



PRESIDENT'S REPORT

Annual Stockholders Meeting

July 02, 2021

Ramon S. Monzon

President & CEO

The Philippine Stock Exchange, Inc.

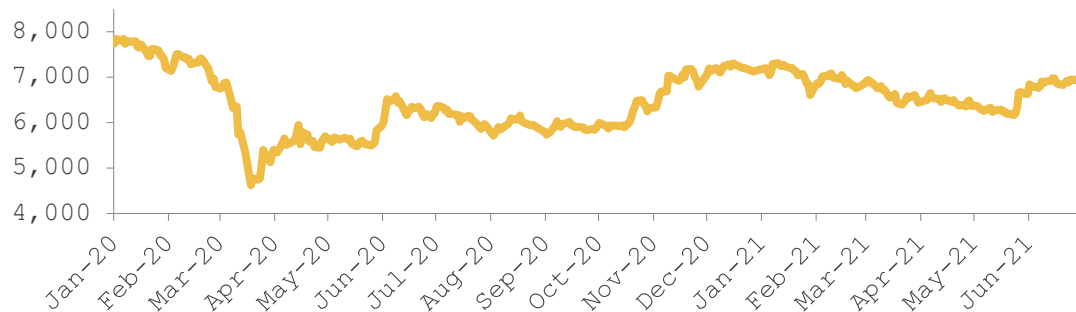


Presentation Outline

- 1 Stock Market Highlights
- 2 Financial Performance
- 3 Capital Market Development Initiatives

Stock Market Performance

PSEi 2020 to Present



Year-on-Year

-8.6%

2020	7,139.71 pts
2019	7,815.26 pts

Year-to-Date

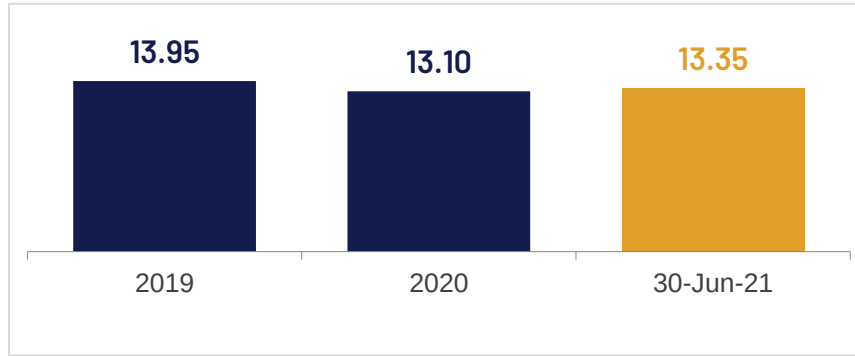
-3.3%

30 Jun 2021	6,901.91 pts
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Stock Market Indicators

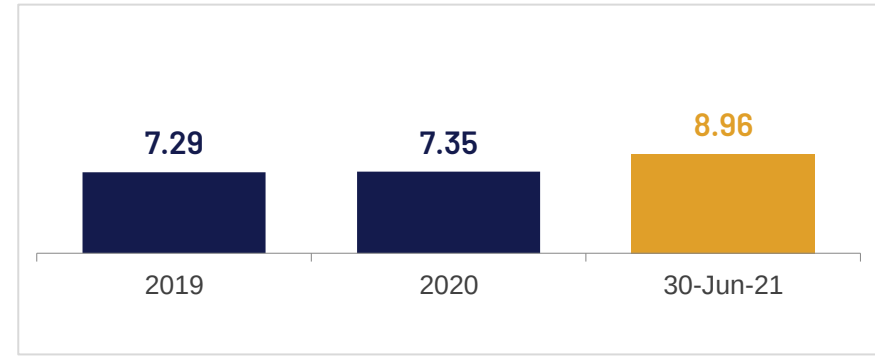
Domestic MCAP (in Php trillion)

+1.9% YTD

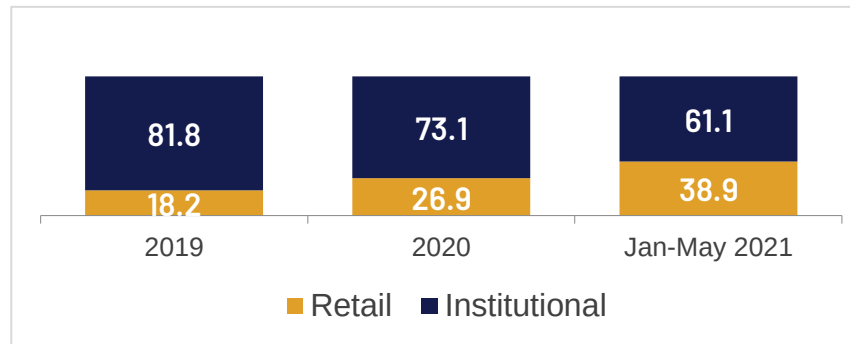


Ave. Daily Value Turnover (in Php trillion)

+21.9% YTD

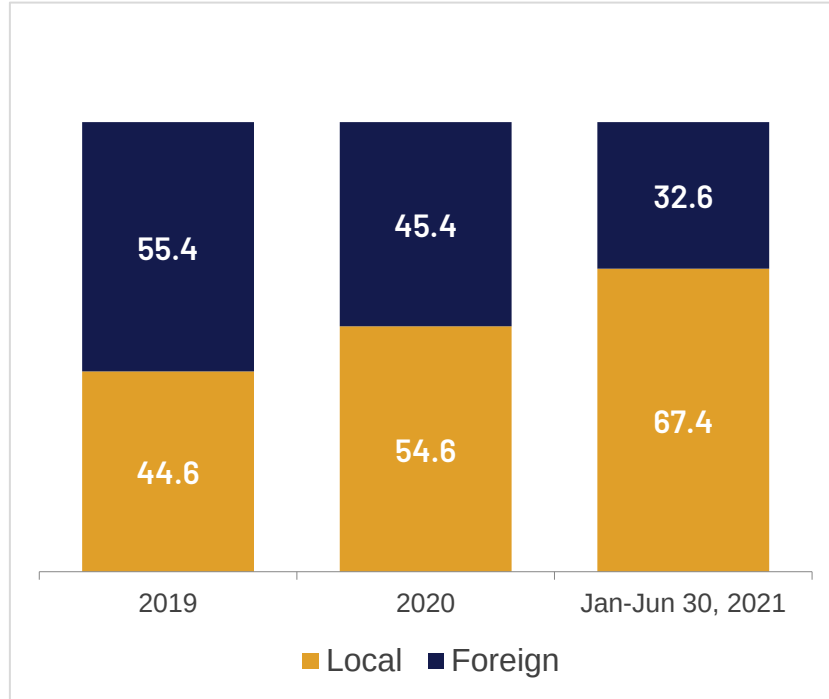


Retail vs Institutional Trading (in %)

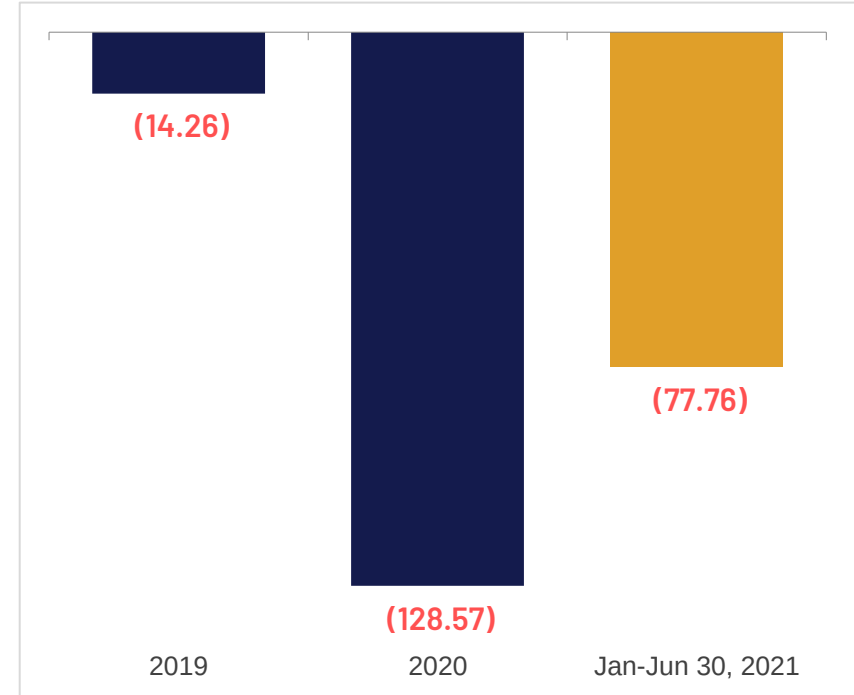


Stock Market Indicators

Local vs Foreign Activity (in %)



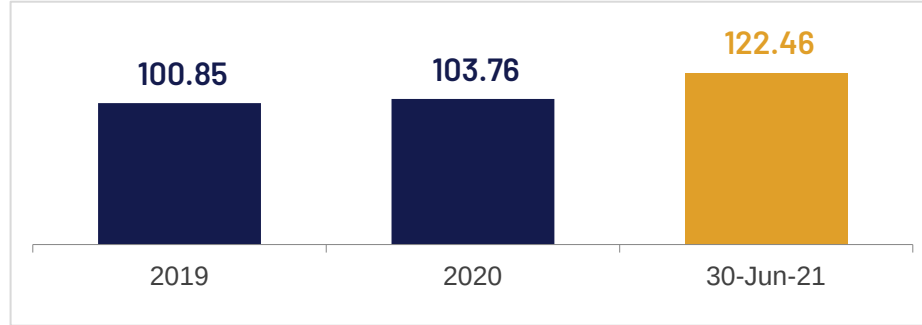
Net Foreign Transactions (in Php billion)



Stock Market Indicators

Total Capital Raised* (in Php billion)

+18.0% YTD



*includes proceeds from the sale of secondary shares

Completed in 2021

8990 Holdings, Inc.
Php3.7 billion (F00)

DDMP REIT, Inc.
Php14.71 billion (IPO)

AC Energy Corporation
Php5.37 billion (SR0)
Php10.27 billion (F00)

Cebu Air, Inc.
Php12.50 billion (SR0)

Monde Nissin Corp.
Php55.89 billion (IPO)

Upcoming Listings

FILINVEST
LAND, INCORPORATED

Filinvest REIT Corp.
~Php14.92 billion (IPO)

ROBINSONS LAND CORPORATION

RL Commercial REIT
~Php26.67 billion (IPO)



MEGAWORLD
MREIT, Inc.

~Php27.27 billion (IPO)



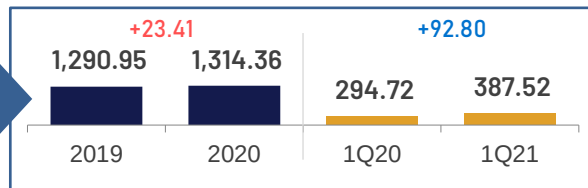
Del Monte Philippines, Inc.
~Php44.07 billion (IPO)



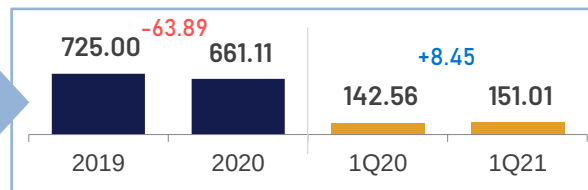
Jollibee
Jollibee Foods Corporation
~Php12 billion (F00)

Consolidated Financial Performance

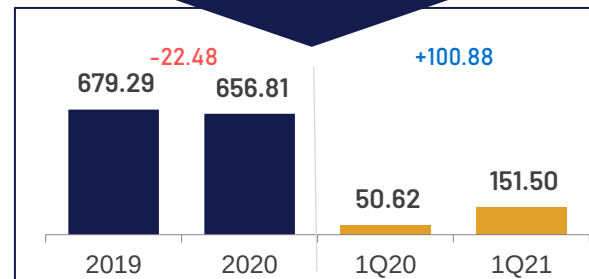
OPERATING REVENUES (in Php mn)



TOTAL EXPENSES (in Php mn)



NET INCOME (in Php mn)



(in Php mn)	2019	2020	Change	1Q20	1Q21	Change
Operating Income	565.94	653.26	87.31	152.15	236.51	84.36
Investment Income						
Mark-to-market gain (loss) on FVTPL	11.22	-19.71	-30.93	-92	-61.26	30.74
Net interest income	212.13	127.78	-84.35	27.84	17.19	-10.65
Other Income						
Equity in net income of an associate	84.47	82.09	-2.38			
Others-net	2.95	22.54	19.59	1.68	6.21	4.53

1Q 21 vs 1Q 20

Net income grew by three-fold in 1Q 21 on account of an increase in operating revenues and other income. Total expenses remained manageable as it rose by only 5.9% from the same quarter a year ago.

Financial Ratios

	2019	2020	
Current Ratio	5.67	6.45	
Debt to Equity Ratio	0.31	0.25	
Return on Assets (in %)	10.8	9.7	
Return on Equity (in %)	14.1	12.0	
Earnings per Share (in Php)	8.33	8.10	
Price per Share (in Php)	175.00	153.90	Close as of 30 Jun 2021 209.00
Dividend per Share (in Php)	8.80**	-	Paid on 10 April 2021 8.00

**paid on 10 May 2019

Capital Market Development Initiatives

Introduce new products and
strengthen stakeholder base to
ENHANCE LIQUIDITY

LEVERAGE ON TECHNOLOGY
to digitize and expand business

BECOME AN ESG CHAMPION
in the capital markets



Enhance Liquidity

Liberalization of Listing Requirements for Main and SME Boards

- Eased listing standards for SMEs
- Introduced the sponsor model for SME Board listings
- Provided COVID-19 considerations for listing applicants

Preferred Shares Only Listing

- Option to tap the stock market without listing the common shares.
- Provides issuers with flexibility on their fundraising structure while providing the public the opportunity to participate in the economic benefits as shareholders.

Amendments to Lock-up Rule in Main and SME Boards

- Provides an exit mechanism for alternative investment funds or their investment arms, subject to certain conditions.

Enhance Liquidity



SHORT SELLING

- Approval of GMSLA (BIR)
- Approval of offshore collateral (SEC)
- Approval of PDTC's application as Securities Lending Agent (SEC)
- **Target launch: 2H 2021**



NEW INDICES

- Align sector classification structure with global benchmarks
- Develop mid-cap and high dividend index
- **Target launch: 2H 2021**

Leverage on Technology



Data Analytics Platform

- Empower investors to analyze data on their own
- Democratize access to market data
- Target: 2H 2021



PSE EASy Phase 2

- Integrate an online payment system for IPO subscriptions
- Expand to other forms of public offerings (SRO, FOO, retail T-bonds)
- Target: 2H 2021



New Clearing & Settlement System

- System expected to go live in 1Q 2022
- T+2 settlement cycle will be in place after system launch



e-KYC Platform

- Facilitate online KYC for new stock market clients
- Standardize info-sharing between investors, TPs, and regulators
- Target: 2022

Become an ESG Champion



Become an ESG Champion

E

environment



PSE lobbied for the replacement of the energy provider in PSE Tower to renewable energy



First ever stock exchange to make a commitment in managing environmental impact to UNFCCC*

**United Nations Framework Convention on Climate Change*

S

social



Annual participation to the Ring the Bell for Gender Equality



PSE's donations to the community (Taguig City LGU and victims of Taal Volcano eruption)



Employee health and wellness (employee engagement & safety)

G

governance



Recipient of 2 Golden Arrow for CG best practices



Annual partnership with SEC in forwarding sustainability and CG best practices

Market Education



Online Securities Course

Partnered with De La Salle-College of Saint Benilde, Inc. SPaCE for the 1st online securities course



New PSE Academy Website

Website will feature a fully-automated self-paced e-learning platform



World Investor Week

Published education materials and short videos on the basics of stock market investing through our social media accounts

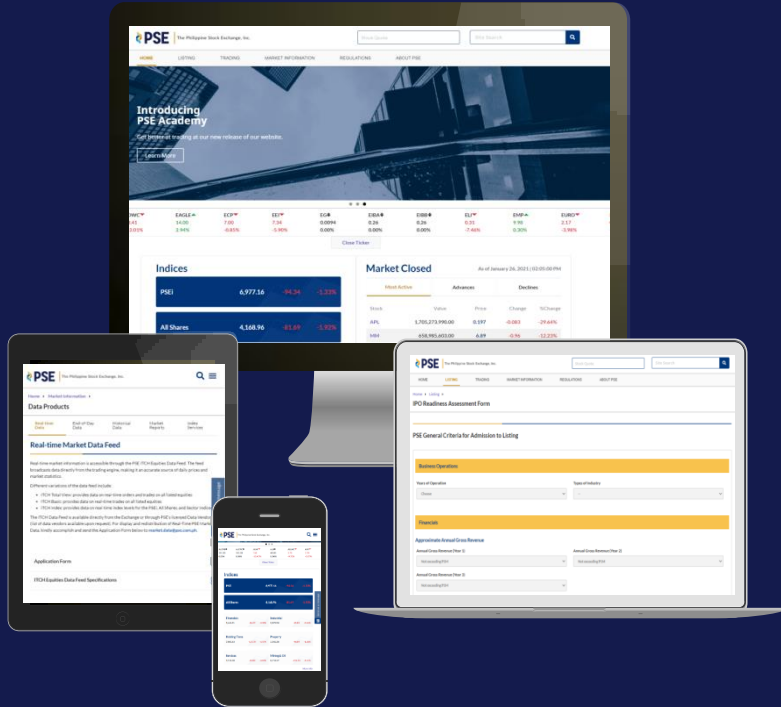


Stock Market Webinars

Conducted 15 webinars reaching more than one (1) million Facebook accounts



New PSE Website



Convenient access to listing-related sources for potential listing applicants



New and improved charting tool



Enhanced display of broker information



Expanded market data products



Centralized regulatory information

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Thank You.

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